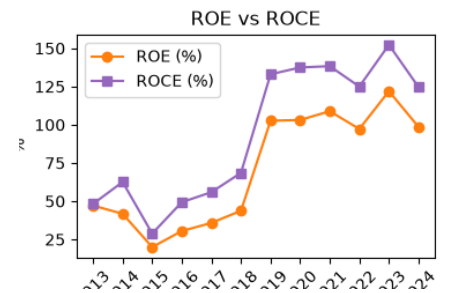
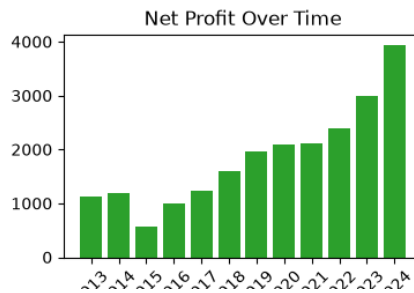
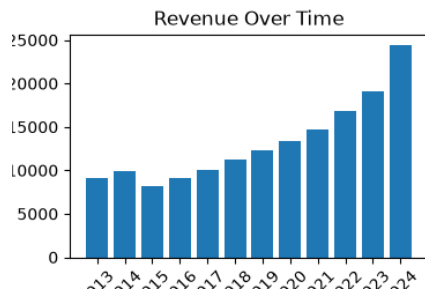
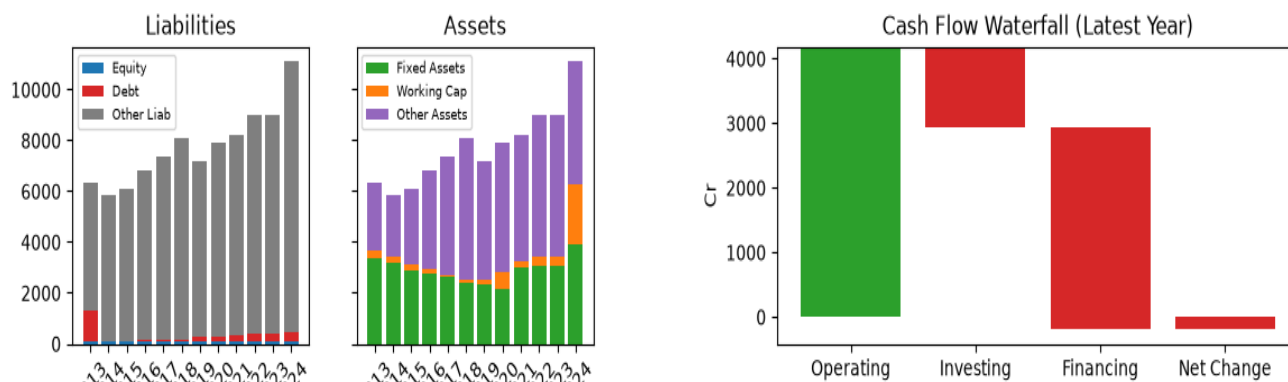


Nestle India Ltd (NESTLEIND)

Revenue Rs. 24394 Cr	Net Profit Rs. 3933 Cr	ROE 98.6%
ROCE 124.6%	D/E Ratio 0.09	Asset Turnover 2.20



Financial Deep Dive & Insights



Capital Allocation Pattern: 4: Healthy / Mature

Strengths (Pros)

- Company has strong Return on Equity of 98.6% ($\geq 15\%$).
- Company has strong Return on Capital Employed of 124.6% ($\geq 15\%$).
- Company is almost debt free.
- Company generates positive Free Cash Flow of ₹2938 Cr.
- Company has delivered good revenue growth of 14.6% CAGR over last 5 years.
- Company has delivered strong profit growth of 14.8% CAGR over last 5 years.
- Company maintains a healthy net profit margin of 16.1%.
- Company has been maintaining a healthy dividend payout of 79.0%.
- Company has strong interest coverage ratio of 37.5x.
- Company operates with a conservative debt-to-equity ratio of 0.09.
- Company efficiently utilises assets with an Asset Turnover ratio of 2.20x.
- Company demonstrates strong cash conversion with FCF Conversion of 0.75x.
- Company is a Nifty 100 constituent, signifying size and liquidity benchmark status.

Weaknesses (Cons)

- Stock valuation incorporates a premium that may limit near-term upside.